

Bread Crumbs

Houston, TX · ZIP 77007 · First-time buyer · Single

$1,430,000

CONV · 6.74% · $1359K effective loan

TO CLOSING	PITI / MO	TRUE MONTHLY	BUFFER
$13,900	$12,400	$14,077	$0

Home Buying Financial Summary · July 3, 2026

✕ **Too tight.** $3,605 shortfall/mo — lower price, add programs, or reduce debts.

1 — SUMMARY

GROSS MONTHLY	TAKE-HOME
$14,583	$12,572

HOUSING COST	MONTHLY BUFFER
$14,077/mo	-$3,605

Front-end DTI	85% ⚠
Back-end DTI	88% ✕
Credit score	810
Loan type	CONV @ 6.74%
Effective loan	$1,358,500
Down payment	$71,500 (5%)
Retirement savings	$333/mo
Tax savings (pre-tax)	+ $1,999/mo
Total assistance stacked	$101,500
Programs selected	2 programs

Selected: TDHCA Home Loan Programs · City of Houston HAP

2 — CLOSING COST BREAKDOWN

Purchase price
$1,430,000

↓ Down payment (5%): **$71,500**

Base loan
$1,358,500

↓ Assistance covers closing: **- $101,500**

✓ **Effective loan — P&I is based on this**
$1,358,500

Down payment	$71,500
Lender fees & title (~2%)	$28,600
Prepaid taxes & insurance (~1%)	$14,300
Inspection + appraisal	$1,000
Total cash needed	**$115,400**
Assistance applied	- $101,500
You bring to closing	**$13,900**

3 — MONTHLY BUDGET

INCOME

Gross monthly	$14,583
401(k) pre-tax	- $250
Federal + FICA tax	- $1,678
Roth IRA (post-tax)	- $83
True spendable take-home	**$12,572/mo**

HOUSING

P&I (6.74%)	$8,802/mo
Property tax (1.80% TX)	$2,145/mo
Insurance (1.03% TX)	$1,227/mo
PMI / MIP	$226/mo
Utilities (TX avg — elec/gas/water/trash)	$310/mo
HOA	$175/mo
Maintenance reserve (1%/yr)	$1,192/mo
Total housing	**$14,077/mo**

LIFESTYLE

Groceries	$575/mo
Dining out	$200/mo
Entertainment	$150/mo
Personal care	$150/mo
Car	$400/mo
Student loans	$375/mo
Emergency fund	$250/mo

Monthly buffer **$0/mo**

4 — WAIT VS. BUY (1-YEAR ANALYSIS)

Based on 4.3%/yr average appreciation · +0.1% rate/yr

BUY NOW

$1,430,000

P&I: $8,802/mo
Rate: 6.74%

WAIT 1 YEAR

$1,491,490

P&I: $13,501/mo
+$61,490 more

Price increase if you wait	+ $61,490
Monthly P&I increase	+ $4,699/mo
Equity built buying now	+ $26K in Year 1

5 — CLIMATE RISK — TX

Always get flood & windstorm insurance quotes **before making an offer**. Verify flood zone at **msc.fema.gov** for ZIP 77007.

Flood Risk

High

Texas has extensive FEMA flood zones. Harris County (Houston) is especially prone. Always check FEMA's flood map (msc.fema.gov) for your specific address before buying.

Heat Risk

Very High

Texas summers regularly reach 100°F+. Budget $200–400/mo extra for summer A/C. Heat also degrades roofing and HVAC systems faster — factor in maintenance.

Hurricane Risk

Moderate

Gulf Coast areas face hurricane risk. If buying within 100 miles of the coast, windstorm coverage is mandatory and can add $1,500–5,000/yr.

Tornado Risk

High

North Texas (DFW) is in Tornado Alley. Central Texas also sees activity. A home with a safe room or storm shelter adds real value.

Wildfire Risk

Low-Moderate

West Texas and Hill Country face wildfire risk. Houston/Dallas urban areas are lower risk.

6 — NEGOTIATION GUIDE

Everything below is negotiable — most buyers leave money on the table by not asking. Your agent works for you; these are the levers you control.

💰 Purchase Price

- List price is a starting point. Comparable sales (comps) determine market value.
- In a buyer's market: offer 3–8% below list. In a hot market: offer at or above list.
- Ask your agent to pull comps from the past 90 days within a 0.5-mile radius before writing any offer.

🏷️ Seller Concessions

- You can ask the seller to pay some or all of your closing costs — called a seller concession.
- FHA allows up to 6% in seller concessions. Conventional allows 3% (under 10% down) or 9% (10%+ down).
- Framing it as 'net price' works better than a discount request — seller nets the same, you get cash at closing.

🔧 Repairs After Inspection

- After the inspection, request repairs, a price reduction, or a repair credit at closing.
- Repair credits are often better — you control the contractor and quality.
- Focus on health/safety issues (roof, electrical, plumbing, HVAC) — not cosmetic items.

📅 Closing Date & Possession

- Sellers often value a flexible closing date as much as a higher price.
- If a seller needs more time, offer a leaseback — they rent from you post-closing.
- If you need speed, a 21-day close can beat a higher offer from a buyer needing 45 days.

🛡️ Home Warranty

- Ask the seller to provide a 1-year home warranty ($400–700). Low cost to them, high value to you.
- Covers HVAC, plumbing, electrical, and appliances for the first year.
- If they decline, ask your agent to cover it as a buyer's closing gift — many do.

💵 Earnest Money & Rate Buydown

- Earnest money (1–3% of price) shows commitment. Make sure your contract has financing, inspection, and appraisal contingencies.
- Ask the seller to pay points to buy down your interest rate — most powerful in a high-rate environment.
- A 2-1 buydown (rate 2% lower year 1, 1% lower year 2) costs ~2–3% of loan — sellers sometimes pay this to close.